INTERNATIONAL MONETARY FUND

REPUBLIC OF THE MARSHALL ISLANDS

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STAFF REPORT FOR THE 2023 ARTICLE IV CONSULTATION—DEBT SUSTAINABILITY ANALYSIS

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Prepared by the staff of the International Monetary Fund and the International Development Association (IDA).

The 2023 Debt Sustainability Analysis (DSA)[1, 2] indicates that the Republic of the Marshall Islands (RMI)'s debt is sustainable but remains at high risk of debt distress. The ratios of the present value (PV) of public and publicly guaranteed (PPG) external debt to GDP, and PV of total PPG debt to GDP are projected to increase after FY2023 due to larger financing needs arising from the expected expiry of the Compact grants from the United States in FY2023 and an assumption that new financing from multilateral development banks (MDBs) will include more loans starting in FY2025—with World Bank financing becoming fully loans from FY2033. While the two indicators remain below their respective thresholds in the 10-year forecast horizon in the DSA baseline scenario, they continue to rise and breach their respective thresholds over the 20-year forecast horizon and remain above them at the end of the horizon, indicating that the risk of debt distress remains high. The standardized stress tests and customized scenario also highlight the vulnerability of the debt position to other non-debt flows, exports, depreciation and commodity price shocks. Notwithstanding, there are good prospects that the RMI will maintain its grant-only status in the near term, which mitigates the risk of debt distress. Further, RMI does not currently face debt servicing risks. While a renewal of the Compact agreement is not in the current baseline, negotiations are ongoing and there are good prospects of an agreement. The implementation of fiscal and structural reforms, alongside gradual adjustment, would promote long-term fiscal sustainability and growth—including building in buffers in the event of emergencies and creating space for investment in climate adaptation.

[1] The DSA follows the IMF and World Bank Staff Guidance Note on the Application of the Joint Fund-Bank Debt Sustainability Framework (DSF) for Low Income Countries (LICs) (February 2018).

[2] The Composite Indicator (CI) of 1.65 is based on the latest available CI information—April 2023 IMF World Economic Outlook (WEO) and the World Bank's Country Policy and Institutional Assessment (CPIA) for 2021 indicating a "weak" capacity to carry debt (see ¶7).

Marshall Islands: Joint Bank-Fund Debt Sustainability Analysis	
Risk of external debt distress	High
Overall risk of debt distress	High
Granularity in the risk rating	Sustainable
Application of judgement	Yes

PUBLIC DEBT COVERAGE

1. The DSA for the RMI covers central government debt and government-guaranteed debt. The DSA classifies domestic and external debt based on the residency criteria, as the RMI uses the US dollar as its legal tender. The RMI's debt is entirely denominated in US dollars, and the bulk is held by non-residents, primarily on concessional terms from development partners. Data availability limits debt coverage, especially the lack of timely information on balance sheets for all other subsectors except the central government,[3] reflecting capacity constraints that result in long time lags in the preparation of audited financial statements for state-owned enterprises (SOEs). The risk from the limited data coverage is mitigated by the measures highlighted in the Box, as well as the inclusion of contingent liability and financial market risks in the DSA. The settings on these have been maintained at the default levels specified in the LIC-DSF template (see table below). There are no Public-Private Partnerships (PPP) in the country at present.

	Subsectors of the public sector	Check box
1	Central government	X
2	State and local government	
3	Other elements in the general government	
4	o/w: Social security fund	
5	o/w: Extra budgetary funds (EBFs)	
6	Guarantees (to other entities in the public and private sector, including to SOEs)	X
7	Central bank (borrowed on behalf of the government)	
8	Non-guaranteed SOE debt	

1	The country's coverage of public debt	The central government, government-guaranteed debt		
		Default	Used for the analysis	Reasons for deviations from the default settings
2	Other elements of the general government not captured in 1.	0 percent of GDP	0	
3	SoE's debt (guaranteed and not guaranteed by the government) 1/	2 percent of GDP	2	
4	PPP	35 percent of PPP stock	0.00	
5	Financial market (the default value of 5 percent of GDP is the minimum value)	5 percent of GDP	5	
	Total (2+3+4+5) (in percent of GDP)		7.0	

1/ The default shock of 2% of GDP will be triggered for countries whose government-guaranteed debt is not fully captured under the country's public debt definition (1.). If it is already included in the government debt (1.) and risks associated with SoE's debt not guaranteed by the government is assessed to be negligible, a country team may reduce this to 0%.

BACKGROUND ON DEBT

2. The RMI's debt is mainly PPG external debt, which has been declining since the early 2000s. The PPG external debt in percent of GDP has been on a downward trajectory, declining from 74 percent of

[3] Official government finance statistics compiled by the RMI Government, and the Graduate School of the United States only covers government and government-guaranteed debt.

GDP in FY2002 to about 22.8 percent in FY2022.[4] RMI's external debt is mainly made up of concessional loans by the Asian Development Bank (ADB) to the central government—accounting for over 70 percent of existing PPG external debt, with the remainder being government-guaranteed debt owed to the U.S. Rural Utilities Services—contracted by a SOE —and debt owed to the International Cooperation Fund of Taiwan Province of China (ICDF).[5] Private external debt accounts for about 10 percent of total external debt. The U.S. dollar is the dominant currency in central government debt. Total debt service amounted to US$7 million in FY2022 and remains broadly stable over the medium term. Currently, RMI's only domestic loan is a US$2 million government guaranteed facility contracted in 2022 from the Marshall Islands Development Bank (MIDB) by the Marshall Islands Resort to fund renovation works.

UNDERLYING MACRO-ECONOMIC ASSUMPTIONS

3. The key assumptions are consistent with the baseline macroeconomic projections. The DSA makes the following assumptions, which are in line with the macroeconomic framework:

- **Real sector:** Following a downturn in FY2022—where real GDP declined by 4.5 percent[6]—the economy is expected to grow by 3 percent in FY2023. This is mainly driven by a projected recovery in the fisheries sector (constituting 12.7 percent of GDP). The growth in wholesale and retail trade (13.7 percent of GDP) and construction (6.1. percent of GDP) reflect the continuing recovery in domestic demand, with the latter benefitting from the revival of donor-financed projects and investment associated with preparations for the Micronesian Games scheduled in 2024. The outlook for medium-term growth is slower relative to the projections in the last DSA mainly due to a delayed pass-through effect of the pandemic on the RMI economy. In the long term, growth is projected to be around 1.5 percent—in line with previous DSA projections, consistent with potential growth. The continued emigration to the United States and the impact of climate change contribute to the slow long-term growth path. Inflation is expected to moderate to 3 percent by end-FY2023 as the decline in global fuel prices alleviates price pressures. Over the medium term, the inflation rate is expected to converge to the projected U.S. inflation rates of around 2 percent.

- **Fiscal sector:** The primary balance is expected to slip into deficits from FY2025, reaching 4 percent of GDP in FY2032. Fiscal developments that account for this include (i) the expiry of U.S. Compact grants at end-FY2023 that are partially substituted by disbursements from the Compact Trust Fund (CTF);[7] (ii) revenues from fishing licenses stabilizing at around 11 percent of

[4] FY2022 data is based on data received from the Graduate School on behalf of the authorities. These are estimates and are subject to change.

[5] This facility is to finance the construction of a Track and Field Stadium for the 2024 Micronesian Games.

[6] This reflects 40 percent decline in the fisheries sector due to the sale of a fishing vessel by a domestic operator, which decreased production. Excluding the sector, real GDP expanded by 4.2 percent, buoyed by a recovery in domestic demand post-COVID, though its strength was diminished by the temporary lockdowns in August and supply chain disruptions.

[7] The baseline macroeconomic framework assumes Compact grant funding will be replaced by drawings on the CTF from FY2024.

GDP over the projection period; (iii) tax collection that stabilizes at around 15.7 percent of GDP in the medium to long term in the absence of revenue reforms; and (iv) a greater reliance on borrowing, which reduces grant revenues and increases interest expenditure. These factors are partly offset by the assumption that current expenditure on subsidies to SOEs gradually decline by around 5.6 pp of GDP by FY2028 relative to the FY2022 but not sufficiently to prevent the fiscal balance from slipping into deficits.

- **External sector:** In the near term—FY2023 the non-interest current account is projected to attain a surplus of 4.2 percent of GDP as exports increase by 3 percentage points of GDP with a recovery in fish production, while imports drop by about 2 percentage points of GDP as global food and fuel prices pressures subdue (Table 1). In the medium term, however, the non-interest current account balance turns into deficits, starting FY2024 as imports outgrow stagnant exports and inflows decline—notably grants, with the expiry of the Compact. As a result, the non-interest current account deficit reaches 37 percent of GDP by FY2032 (Table 1).[8] Net FDI inflows are projected to stabilize around 3.3 percent of GDP.

- **External financing**: In the absence of access to international capital markets and a because of a very shallow domestic market, any remaining financing gap is assumed to be closed by a combination of bilateral and multilateral loans, all on concessional terms.[9] The baseline assumes that future financing from MDBs will move from all grants currently to a mix of grants and loans, with World Bank (WB) financing assumed to be fully on credit terms after FY2033. Under these financing assumptions, total grants decline from 31.9 percent of GDP in FY2023 to 12.5 percent of GDP in FY2042. Over the 20-year period from FY2023-FY2042, new external borrowing flows are assumed to total US$545.6 million. Of this total, MDBs are expected to account for around 39 percent, with the WB accounting for around 24 percent of the total, while bilateral borrowing is expected to make up the rest. WB credit is expected to be on standard IDA small-economy terms (interest rate of 0.75 percent, 10-year grace period, 40-year maturity). ADB financing is similarly expected to be on standard terms (zero interest, 6-year grace, 12-year maturity). Bilateral support is expected to be from the ICDF, which is expected to carry a 2 percent interest rate with a 7-year grace period and 33-year maturity. The new borrowing flows-to-GDP ratio is expected to rise gradually from around 2 percent in FY2023 to peak at 10.5 percent in FY2041. Over the 20 years, the new borrowing flows are expected to average around 6.2 percent of GDP annually.

4. Relative to the last DSA however, the primary deficits over the projection period are narrower mainly due to a slightly improved fiscal outlook and more favorable financing

[8] The shift in the current account balance from historical surpluses to deficits in the projection period is due to the decline in current grants following the expiry of payments under the Compact. The deficit is financed in part by an increase in capital (project) grants, mainly from the World Bank. Capital grants are projected to increase from 1.9 percent of GDP in FY2022 to an average of 8.1 percent between FY2024-30 before declining as financing increasingly shifts to loans (see bullet on External Financing). This change in the financing pattern also largely accounts for the swing in the residuals in Table 1.

[9] Debt that has a grant element of 35 percent or higher, based on the difference between the discounted present value (PV) of debt service payments (including any fees or other charges) and the face value of the debt, is defined as being concessional. The PV is calculated using a discount rate of 5 percent.

assumptions (Text Table 1). The previous DSA projected the primary balance to turn into deficits from FY2022,[10] rapidly expanding to an average of 7.7 percent of GDP over the medium term. In the current DSA, however, the expansion of the primary deficit, starting FY2025 is more gradual. Further, the previous DSA assumed that all MDB grants are replaced by loans unless they are already committed. This DSA assumes that other than grant financing that has already been committed, ADB financing in the projection period will shift from all grants in 2024 to mixture of grants and loans by FY2028. World Bank financing will remain fully grants until FY2025, then a mix of grants and loans until FY2033, after which it is fully loans. The loans are assumed to be on regular concessional credit terms for small economies.

Text Table 1. Marshall Islands: Macroeconomic Projections

	DSA AIV 2021					DSA AIV 2023				
	2020	2021	Average 2022-25	2030	2040	2022	2023	Average 2024-27	2032	2042
	Percent of GDP, unless otherwise indicated									
GDP Growth (percent)	-3.3	-1.5	2.5	1.5	1.5	-4.5	3	2.1	1.5	1.5
GDP deflator (percent)	1.1	1.5	2	2	2	6.2	3	2.2	2	2
Non-interest CA deficit	-2.9	-3.2	6.5	13.6	15.4	-8.8	-4.2	6.4	37	49.3
Primary deficit	-1.6	-1.9	7.7	14	16.2	-0.9	-0.3	0.7	3.7	6
Exports	26.7	33.3	30.5	30.2	30.2	45	47.9	45.3	45.3	45.3
Revenues and grants	67.7	86.8	62.2	49.7	46.2	66.4	62.8	69.5	57.6	51.4

Source: National authorities, staff's projections.

5. Issues flagged in the realism tools largely reflect changing context. (Figures 3 and 4). The large reduction in nominal PPG external debt relative to the previous DSA is mainly due to a relatively lower primary deficit projection in the current DSA for reasons discussed above. The shifts in debt-creating flows in the current DSA mainly highlight the changing macroeconomic context; notably the transition from current account surpluses to deficits.[11]

6. Successful completion of the negotiation of a new Compact agreement with the United States[12] should improve the medium- to long-term fiscal outlook. In the near term, a delay in completion of negotiations could be bridged by drawing on the Compact Trust Fund (CTF). However, the limited resources in the CTF—which stood at around US$680 million as at end-May 2023—would not allow these drawings to be a durable long-term replacement for the absence of new Compact grants. In any event, even if the Compact is successfully renewed, RMI's significant development needs over the long term—including investments needed for climate adaption—will increase fiscal pressures and necessitate fiscal reforms.

[10] The outturn for FY2022 and projection for FY2023 are now surpluses.

[11] In the past, relatively large current account surpluses were significantly debt reducing. This effect is minimized as the current account surplus gradually reduces and turns into deficits.

[12] Reports indicate the U.S. has agreed to provide US$2.3 billion in grant assistance over 20 years. This will be split between budget support grants, contributions to the CTF and compensation for landowners on Kwajalein Atoll, which hosts a U.S. naval base and weapons testing facilities.

COUNTRY CLASSIFICATION AND DETERMINATION OF SCENARIO STRESS TESTS

7. The debt-carrying capacity of the RMI continues to be classified as weak. The Composite Indicator (CI) for the RMI, which is used to assess the debt carrying capacity in the LIC-DSF stood at 1.65, and the classification of weak capacity remains, like in the last DSA.[13] Accordingly, the DSA thresholds applicable for the RMI are 30 percent for the present value (PV) of external debt-to-GDP ratio, 140 percent for the PV of external debt-to-exports ratio, 10 percent for the external debt service-to-exports ratio, 14 percent for the external debt service-to-revenue ratio, and 35 percent for the PV of public debt-to GDP ratio.

8. There are six standardized stress tests in the DSF, each applied to both the external and the public DSA. These standard stress tests capture shocks to real GDP growth, the primary fiscal balance, exports, other external flows (include official and private transfers and FDI), exchange rate depreciation, and a combination of these shocks. In standardized stress tests, a variable is subject to a shock, and the post-shock values of the stressed variables are set to the baseline projection minus one standard deviation. However, if the historical average is less favorable than the baseline projection, then the post-shock values are instead set to the historical average minus one standard deviation.

9. The DSA incorporates the costs and risks of natural disasters. Given RMI's susceptibility to natural disasters and climate change, staff's analysis of the baseline explicitly reflects their impact in the long run., RMI's long-term growth projections are adjusted downward by 0.1 percentage points to around 1.5 percent, compared with a non-disaster potential growth rate of 1.6 percent.[14] In addition, the near-term risk of a one-off extreme natural disaster is incorporated in the DSA analysis through a customized scenario (see Figures 1 and 2). The shock assumes that a one-off extreme natural disaster would decrease real GDP growth and export growth in the second year of projection by 2 and 3.5 percentage points respectively.[15]

[13] Based on the April 2023 WEO and 2021 CPIA.

[14] The 2018 Article IV staff report estimated that based on a 5.4 percent probability of a severe natural disaster in any given year, long-run growth is around 0.1 pp lower than in a non-disaster scenario.

[15] This is larger than the default setting in the DSA template (1.5 percentage points). This estimate, however, is subject to significant uncertainty and climate change may have much larger adverse impact on growth, which the natural disaster scenario of the DSA aims to capture.

Calculation of CI Index

Components	Coefficients (A)	10-year average values (B)	CI Score components (A*B) = (C)	Contribution of components
CPIA	0.385	2.615	1.01	61%
Real growth rate (in percent)	2.719	2.101	0.06	3%
Import coverage of reserves (in percent)	4.052	0.000	0.00	0%
Import coverage of reserves^2 (in percent)	-3.990	0.000	0.00	0%
Remittances (in percent)	2.022	9.955	0.20	12%
World economic growth (in percent)	13.520	2.856	0.39	23%
CI Score			1.65	100%
CI rating			Weak	

Composite Indicators

Final	Classification based on current vintage	Classification based on the previous vintage	Classification based on the two previous vintage
Weak	Weak 1.65	Weak 1.70	Weak 1.70

DEBT SUSTAINABILITY

External Debt Sustainability

10. Under the baseline scenario, RMI's PPG external debt trajectory is projected to breach the indicative threshold in the medium to long term. The external debt-to-GDP ratio is projected to rise to 34 percent in FY2032, reaching 89.4 percent in FY2042 under the baseline projection. The PV of PPG external debt-to-GDP ratio is projected to rise, breaching the threshold in FY2035, while the PV of PPG external debt to exports is projected to remain below the threshold in the projection period. The ratios of PPG debt service to revenue and exports remain below its thresholds over the forecast horizon. Compared with the 2021 DSA, which projected external debt-to-GDP ratio to reach 114.1 percent in FY2030 and 238.7 percent in FY2040, the accumulation of debt is slower mainly due to the revision in the assumption on MDB financing,[16] and to some extent, an improved outlook for the medium term.[17]

11. Stress tests indicate the vulnerability of external debt dynamics to a combination of shocks. Among the standardized tests, other non-debt flows[18] shock would result in the highest PV of external PPG debt-to-GDP ratio, breaching the threshold in FY2029. In addition, the exports shock results in a breach in the threshold from FY2030. The PV of external PPG debt to GDP continues to rise after both of these shocks. Shocks to exports and other non-debt flows also cause the PV of external PPG debt-to-exports ratio to breach the threshold in FY2037 and FY2042, respectively. An exports shock results in the highest external

[16] The previous DSA assumed that MDB financial assistance would be fully on credit terms (see ¶4).

[17] This is mainly due to a more favorable fiscal outturn for FY2021 and FY2022 compared to what had been previously projected.

[18] These include official and private transfers, and FDI.

debt service-to-exports ratio, breaching the threshold from FY2041. For the external debt service-to-revenue ratio, none of the shocks examined resulted in a breach of the threshold, with the exports shock having the most significant impact. The natural disaster shock raises the PVs of external debt-to-GDP ratio above the baseline, crossing the threshold from FY2035.

Public Debt Sustainability

12. Public sector debt follows similar dynamics as external debt. The ratio of PPG debt to GDP is projected to rise to 38.9 percent in FY2032 and 98.8 percent in FY2042. The PV of PPG debt-to-GDP ratio breaches the threshold in FY2035. Stress tests also indicate the vulnerability of public debt dynamics to most shocks, breaching the threshold for a growth shock in FY2027 and non-debt flows and exports shocks in FY2030 and FY2031 respectively. Among the standardized tests, commodity price shock would result in the highest PVs of external PPG debt-to-GDP ratio, breaching the threshold in FY2026. The debt dynamics are similar to that of PPG external debt since public financing needs are met by external sources.

RISK RATING AND VULNERABILITIES

13. The DSA indicates that RMI's debt continues to be sustainable but at high risk of distress, in line with past assessment. Under the baseline scenario, the PV of PPG external debt-to-GDP ratio and the PV of total public-debt-to-GDP ratio will breach their indicative thresholds toward the end of the projection horizon. However, the RMI currently does not face issues servicing its debt and has good prospects for continued access to grant financing under a possible new Compact agreement with the US. Further, while the DSA assumes MDB lending will shift to a mix of grants and loans—with loans only for IDA from FY2034, there are good prospects that the RMI will maintain its grant-only status in the near term. The risks of debt distress can also be mitigated by a sustained gradual fiscal consolidation program. Other factors including the RMI's access to the CTF assets do not change the assessment by mechanical rating since access to the Fund are limited to income earned by the CTF during the year. As a current IDA-only country at a high risk of external debt distress, RMI is required to prepare Performance and Policy Actions (PPAs) under the Sustainable Development Finance Policy (SDFP). The Box highlights the progress and challenges with the PPAs.

Box 1. Performance and Policy Actions (PPAs)

The World Bank's Sustainable Development Finance Policy (SDFP) seeks to incentivize IDA countries to move towards transparent, sustainable financing and to promote coordination between IDA and other creditors in support of recipient countries' efforts.[1] The policy has two pillars:

- The Debt Sustainability Enhancement Program (DSEP) to help IDA countries address debt vulnerabilities through incentives and policy actions; and
- The Program for Creditor Outreach (PCO) to facilitate information sharing, dialogue, and coordination among creditors to help address debt-related risks, building on IDA's global platform and convening role.

The SDFP framework builds on the lessons learned during the Non-Concessional Borrowing Policy (NCBP) implementation and adapts to the new debt and creditor landscape. Starting from July 1, 2020, it replaced the NCBP and differs from it in several important aspects. While the new policy explicitly recognizes that efforts by IDA alone will not be enough to change the current debt landscape of IDA-eligible countries, its design seeks to maximize the policy's development impact.

It is in this context that the government of RMI enacted a series of legislation to address fiscal vulnerabilities and comply with the requirements of the SDFP. As per the SDFP, the Government of the Republic of the Marshall Islands (GoRMI) is required to implement two PPAs each fiscal year, one of which is a zero non-concessional borrowing ceiling on contracting new external public and publicly guaranteed debt as the country is at high risk of external debt distress. In addition, the government enacted legislations and regulations to enhance fiscal and debt sustainability - Fiscal Responsibility and Debt Management Regulations; Financial Management Bill; and Procurement Bill (see Table below for more details). The need for, and critically of these legislations were highlighted in various analytical reports; The 2012 PEFA, the 2021 Country Economic Memorandum/Public Expenditure Review (CEM/PER), the 2021 IMF AIV, and GoRMI's PFM Roadmap identified outdated and weak financial management and procurement frameworks and processes are key bottlenecks to efficient service delivery and a risk to fiscal and debt sustainability.

However, implementation challenges remain. With pandemic related-border closures, staff and consultants could not easily travel to RMI to provide technical assistance to the government. In addition, key positions at the Ministry of Finance continue to remain vacant, eroding an-already weak capacity. Nonetheless, the adoption of these legislations is a step in the right direction to enhance fiscal and debt sustainability in RMI.

[1] https://ida.worldbank.org/en/financing/debt/sustainable-development-finance-policy

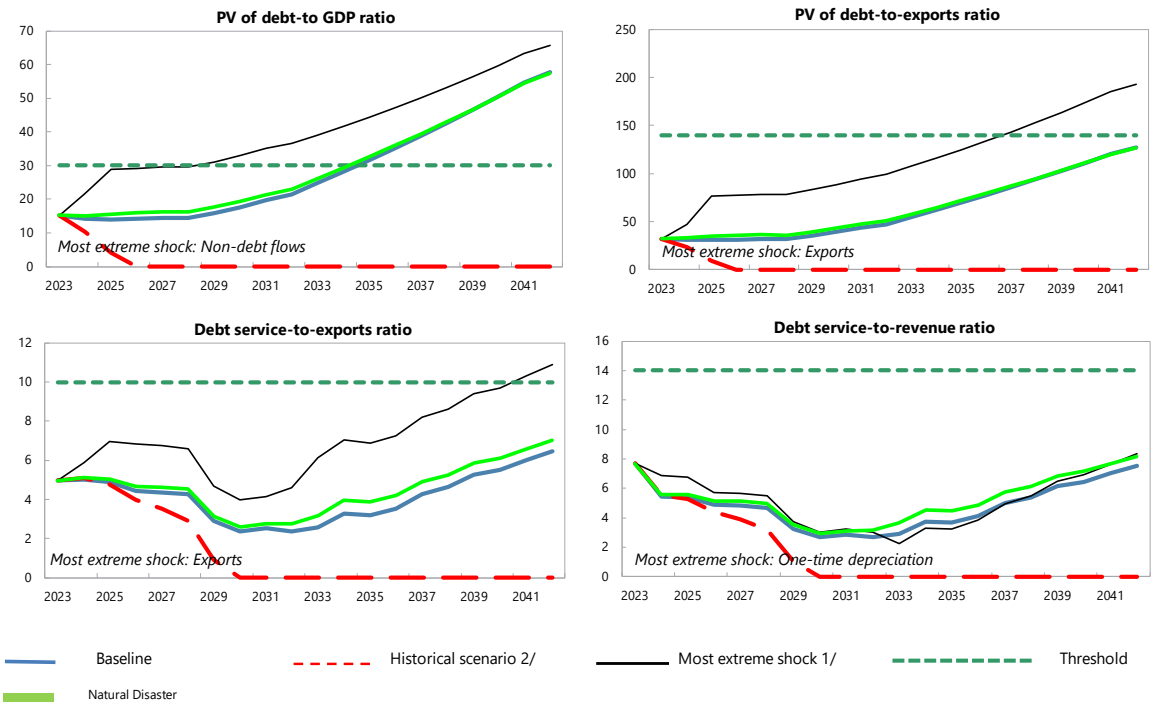
Box 1. Performance and Policy Actions (PPAs) (concluded)

Fiscal Year	Description
2021	**PPA1**: The Cabinet has approved the Fiscal Responsibility and Debt Management Regulations to strengthen debt management and medium-term fiscal sustainability and has published them on the MoF website by end-May 2021. **PPA2**: The Republic of the Marshall Islands has complied with a zero non-concessional borrowing ceiling on contracting new external public and publicly guaranteed (PPG) debt in FY21.
2022	**PPA 1:** To strengthen fiscal oversight, the Cabinet has approved a Financial Management Bill for submission to the Nitijela (RMI Parliament) that: (i) facilitates implementation of a new electronic public financial management practice; and (ii) establishes a legal framework for internal audit functions and a Treasury Single Account. **PPA 2:** To improve debt sustainability, the Government will not enter into any contractual obligations for new external public and publicly guaranteed (PPG) non-concessional debt in FY22, except if the non-concessional debt limit is adjusted by the World Bank to a) reflect any material change of circumstances or b) in coordination with the IMF, in particular in line with adjustments in the IMF Debt Limit Policy (DLP).
2023	**PPA1:** To strengthen fiscal sustainability by improving the efficiency of public spending, the Cabinet has approved and submitted to the Nitijela (RMI Parliament), a Procurement Bill that introduces a new and modernized legal framework that facilitates the use of electronic procurement arrangements among other enhancements to the procurement system. **PPA 2:** To improve debt sustainability, the Government will not enter into any contractual obligations for new external public and publicly guaranteed (PPG) non-concessional debt in FY23, except if the non-concessional debt limit is adjusted by the World Bank to a) reflect any material change of circumstances or b) in coordination with the IMF, in particular in line with adjustments in the IMF Debt Limit Policy (DLP).

AUTHORITIES' VIEWS

14. The authorities broadly agreed with the DSA assessment. They acknowledged the need to contain expenditure and debt accumulation–in line with the Fiscal Responsibility and Debt Management Act, while also building buffers to create fiscal space for priority investments including climate infrastructure. They remain optimistic about the prospects for the new Compact and are committed to working toward a balanced and mutually acceptable agreement. The authorities are seeking to continue implementing the PFM reforms, including reducing SOE subsidies and implementing Community Service Obligations in several SOEs. They will also continue to explore increasing revenue mobilization—including through increasing the manpower of the tax office and implementing existing recommendations for improving revenue collection.

Figure 1. Marshall Islands: Indicators of Public and Publicly Guaranteed External Debt under Alternative Scenarios, 2023-2041



Customization of Default Settings	Size	Interactions
Tailored Stress		
Combined CL	No	
Natural disaster	n.a.	n.a.
Commodity price	No	No
Market financing	n.a.	n.a.

Note: "Yes" indicates any change to the size or interactions of the default settings for the stress tests. "n.a." indicates that the stress test does not apply.

Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG MLT debt	100%	
Terms of marginal debt		
Avg. nominal interest rate on new borrowing in USD	1.4%	1.4%
USD Discount rate	5.0%	5.0%
Avg. maturity (incl. grace period)	29	29
Avg. grace period	7	7

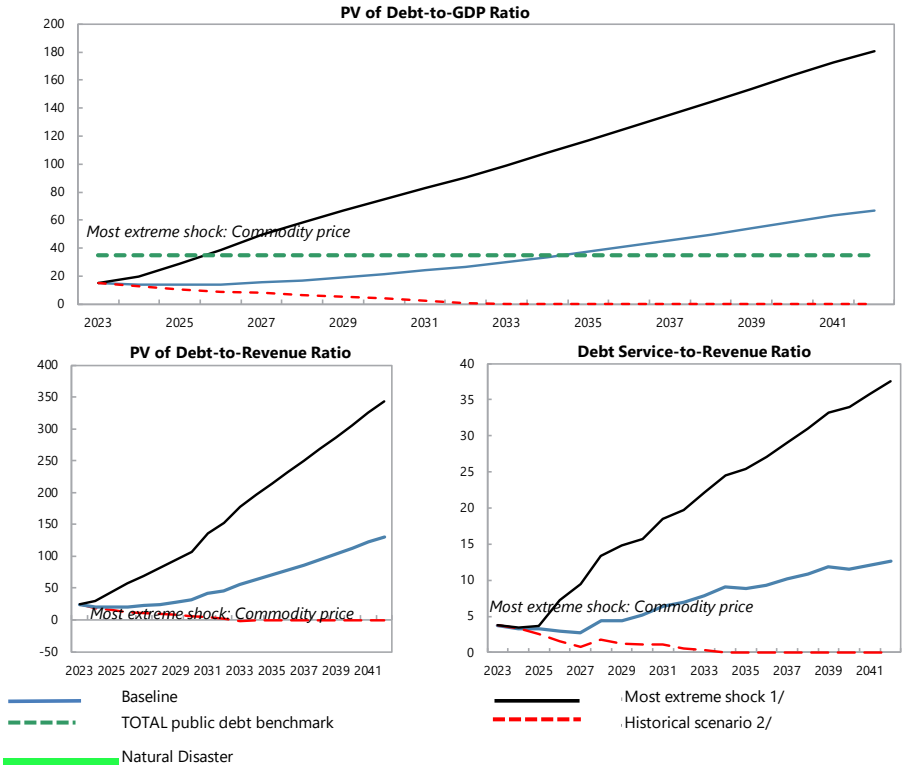
* Note: All the additional financing needs generated by the shocks under the stress tests are assumed to be covered by PPG external MLT debt in the external DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2033. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

2/ Because of RMI's large surpluses in the past and the projected deterioration of the current account, the historical scenario does not produce meaningful results to assess risk of debt distress and therefore its results have been trucated at zero.

Figure 2. Marshall Islands: Indicators of Public Debt Under Alternative Scenarios, 2023-2041



Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG medium and long-term	78%	65%
Domestic medium and long-term	8%	12%
Domestic short-term	15%	22%
Terms of marginal debt		
External MLT debt		
Avg. nominal interest rate on new borrowing in USD	1.4%	1.4%
Avg. maturity (incl. grace period)	29	29
Avg. grace period	7	7
Domestic MLT debt		
Avg. real interest rate on new borrowing	7.2%	7.2%
Avg. maturity (incl. grace period)	3	3
Avg. grace period	2	2
Domestic short-term debt		
Avg. real interest rate	12.2%	12.2%

* Note: The public DSA allows for domestic financing to cover the additional financing needs generated by the shocks under the stress tests in the public DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2033. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

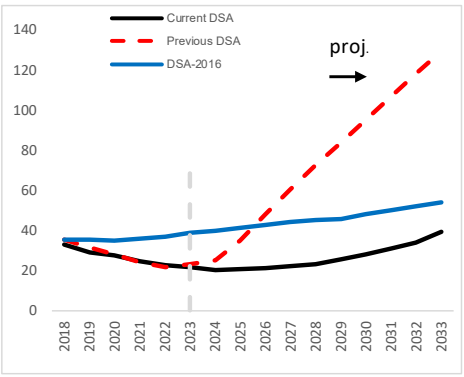
2/ Because of RMI's large surpluses in the past and the projected deterioration of the current account, the historical scenario does not produce meaningful results to assess risk of debt distress and therefore its results have been trucated at zero.

Note: The Natural Disaster shock was considered as part of this Debt Sustainability Analysis but is not dispalyed in this figure as it is close to the values for, and indistinguishible from, the baseline.

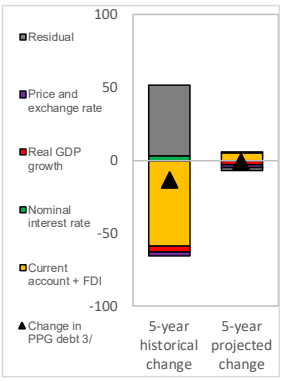
Figure 3. Marshall Islands: Drivers of Debt Dynamics – Baseline Scenario

External Debt

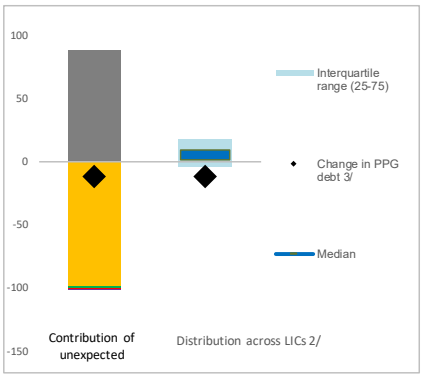
Gross Nominal PPG External Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)

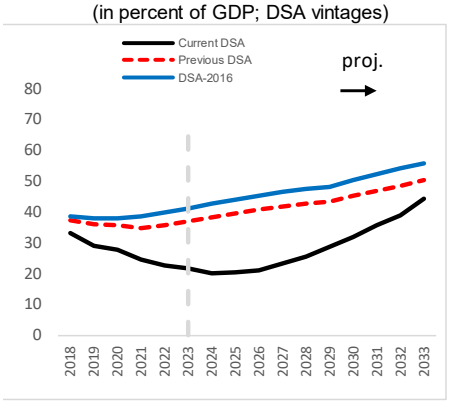


Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)

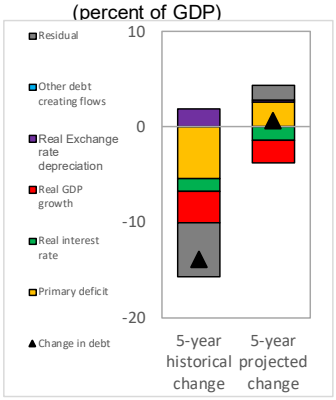


Public Debt

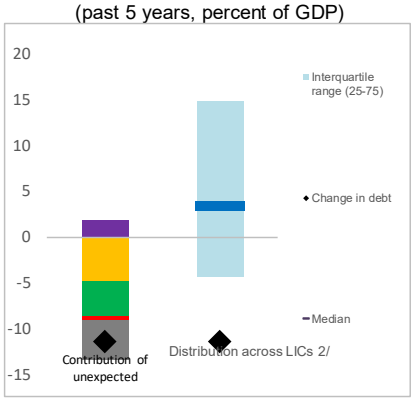
Gross Nominal Public Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)



Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)



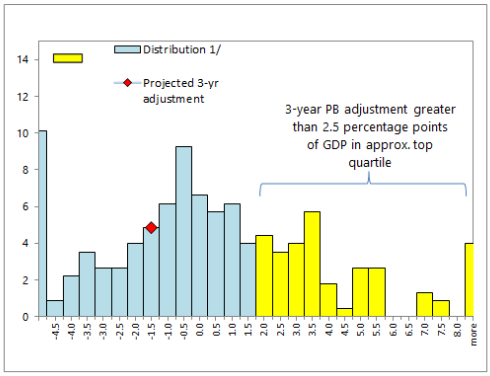
1/ Difference between anticipated and actual contributions on debt ratios.

2/ Distribution across LICs for which LIC DSAs were produced.

3/ Given the relatively low private external debt for average low-income countries, a ppt change in PPG external debt should be largely explained by the drivers of the external debt dynamics equation.

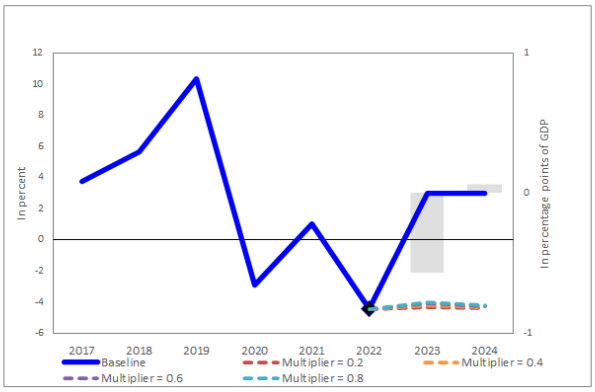
Figure 4. Marshall Islands: Realism Tools

3-Year Adjustment in Primary Balance (Percentage points of GDP)



1/ Data cover Fund-supported programs for LICs (excluding emergency financing) approved since 1990. The size of 3-year adjustment from program inception is found on the horizontal axis; the percent of sample is found on the vertical axis.

Fiscal Adjustment and Possible Growth Paths 1/



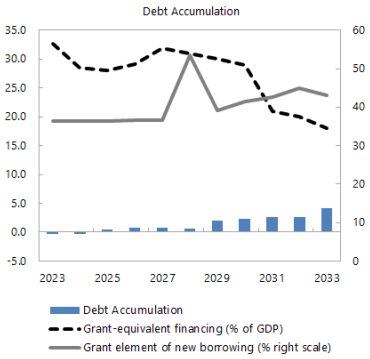
1/ Bars refer to annual projected fiscal adjustment (right-hand side scale) and lines show possible real GDP growth paths under different fiscal multipliers (left-hand side scale).

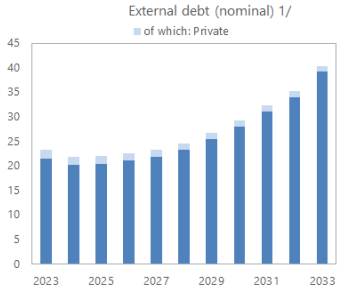
Table 1. Marshall Islands: External Debt Sustainability Framework, Baseline Scenario, 2022-2042

(In percent of GDP, unless otherwise indicated)

	Actual	Projections											Average 8/	
	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2042	Historical	Projections
External debt (nominal) 1/	**25.3**	**23.2**	**21.8**	**22.0**	**22.6**	**23.3**	**24.6**	**26.7**	**29.3**	**32.4**	**35.2**	**89.4**	**38.9**	**27.4**
of which: public and publicly guaranteed (PPG)	**22.8**	**21.6**	**20.2**	**20.5**	**21.1**	**21.9**	**23.2**	**25.4**	**28.0**	**31.2**	**34.0**	**89.4**	**36.7**	**26.0**
Change in external debt	-1.8	-2.0	-1.4	0.2	0.6	0.8	1.3	2.1	2.6	3.1	2.8	4.3		
Identified net debt-creating flows	**-11.9**	**-7.8**	**-2.9**	**1.2**	**4.5**	**8.8**	**13.3**	**19.3**	**27.1**	**31.1**	**33.4**	**45.9**	**-9.7**	**15.0**
Non-interest current account deficit	**-8.8**	**-4.2**	**0.9**	**4.7**	**7.9**	**12.2**	**16.7**	**22.8**	**30.6**	**34.7**	**37.0**	**49.3**		
Deficit in balance of goods and services	33.1	28.3	35.8	37.8	41.1	45.3	46.9	54.2	60.7	62.4	63.7	69.7	**47.1**	**49.2**
Exports	45.0	47.9	45.4	45.2	45.2	45.2	45.2	45.3	45.3	45.3	45.3	45.4		
Imports	78.1	76.2	81.2	83.1	86.4	90.5	92.1	99.4	106.0	107.7	109.0	115.0		
Net current transfers (negative = inflow)	-30.2	-21.7	-13.1	-12.6	-13.1	-13.3	-10.7	-12.3	-11.5	-9.4	-8.8	-5.2	**-28.9**	**-12.1**
of which: official	-30.6	-21.3	-12.9	-12.5	-13.7	-14.8	-14.6	-14.3	-13.9	-12.2	-12.0	-8.9		
Other current account flows (negative = net inflow)	-11.7	-10.8	-21.8	-20.5	-20.1	-19.8	-19.5	-19.0	-18.7	-18.3	-18.0	-15.1	**-21.5**	**-18.6**
Net FDI (negative = inflow)	**-3.3**	**-3.3**	**-3.3**	**-3.3**	**-3.3**	**-3.3**	**-3.3**	**-3.3**	**-3.3**	**-3.3**	**-3.3**	**-3.3**	**-5.9**	**-3.3**
Endogenous debt dynamics 2/	**0.1**	**-0.4**	**-0.4**	**-0.2**	**-0.2**	**-0.1**	**-0.2**	**-0.2**	**-0.2**	**-0.2**	**-0.2**	**-0.1**		
Contribution from nominal interest rate	0.5	0.3	0.2	0.2	0.2	0.2	0.2	0.1	0.2	0.2	0.2	1.1		
Contribution from real GDP growth	1.2	-0.7	-0.7	-0.4	-0.4	-0.3	-0.3	-0.4	-0.4	-0.4	-0.5	-1.2		
Contribution from price and exchange rate changes	-1.6	...	...	...	...	...	...	...	...	...	...	...		
Residual 3/	**10.1**	**5.8**	**1.4**	**-1.0**	**-3.9**	**-8.0**	**-12.0**	**-17.2**	**-24.5**	**-28.0**	**-30.6**	**-41.6**	**6.7**	**-13.7**
of which: exceptional financing	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Sustainability indicators														
PV of PPG external debt-to-GDP ratio	**16.5**	**15.3**	**14.1**	**14.0**	**14.1**	**14.5**	**14.5**	**15.9**	**17.7**	**19.7**	**21.5**	**57.7**		
PV of PPG external debt-to-exports ratio	**36.7**	**31.9**	**31.1**	**30.9**	**31.3**	**32.0**	**32.1**	**35.1**	**39.0**	**43.4**	**47.4**	**127.2**		
PPG debt service-to-exports ratio	**6.0**	**5.0**	**5.0**	**4.9**	**4.4**	**4.4**	**4.3**	**2.9**	**2.4**	**2.5**	**2.4**	**6.5**		
PPG debt service-to-revenue ratio	**9.8**	**7.7**	**5.4**	**5.4**	**4.9**	**4.8**	**4.7**	**3.3**	**2.7**	**2.9**	**2.7**	**7.5**		
Gross external financing need (Million of U.S. dollars)	-24.4	-14.1	-0.4	10.9	21.0	35.5	51.9	73.1	102.9	122.0	134.9	268.1		
Key macroeconomic assumptions														
Real GDP growth (in percent)	-4.5	3.0	3.0	2.0	1.7	1.5	1.5	1.5	1.5	1.5	1.5	1.5	**2.0**	**1.8**
GDP deflator in US dollar terms (change in percent)	6.2	2.9	2.7	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.0	**1.9**	**2.1**
Effective interest rate (percent) 4/	2.0	1.5	1.0	0.9	0.9	0.9	0.8	0.6	0.6	0.7	0.7	1.4	**2.2**	**0.9**
Growth of exports of G&S (US dollar terms, in percent)	-1.9	13.0	0.1	3.7	3.7	3.5	3.5	3.5	3.5	3.5	3.5	3.5	**2.7**	**4.1**
Growth of imports of G&S (US dollar terms, in percent)	10.9	3.5	12.6	6.4	7.9	8.5	5.4	11.7	10.4	5.1	4.8	3.5	**2.7**	**7.3**
Grant element of new public sector borrowing (in percent)	...	36.4	36.4	36.4	36.5	36.6	53.5	39.3	41.4	42.7	45.0	42.0	**...**	**40.7**
Government revenues (excluding grants, in percent of GDP)	27.6	30.9	41.7	40.9	41.0	41.0	41.1	40.2	40.0	39.9	39.7	38.9	**31.5**	**39.6**
Aid flows (in Million of US dollars) 5/	101.2	94.1	87.1	91.1	98.3	110.9	110.9	113.7	114.2	89.7	87.8	117.3		
Grant-equivalent financing (in percent of GDP) 6/	...	32.7	28.5	28.0	29.1	31.8	31.0	30.0	28.9	21.0	20.0	16.2	**...**	**27.2**
Grant-equivalent financing (in percent of external financing) 6/	...	96.1	95.9	93.6	93.5	93.9	94.6	92.3	91.7	87.9	88.5	75.7	**...**	**91.8**
Nominal GDP (Million of US dollars)	261	277	293	304	316	327	338	350	362	375	388	548		
Nominal dollar GDP growth	1.4	6.0	5.8	4.0	3.7	3.5	3.5	3.5	3.5	3.5	3.5	3.5	**3.8**	**4.0**
Memorandum items:														
PV of external debt 7/	19.0	16.9	15.7	15.5	15.6	15.9	15.9	17.2	18.9	20.9	22.7	57.7		
In percent of exports	42.2	35.4	34.6	34.2	34.5	35.1	35.1	38.1	41.8	46.1	50.1	127.2		
Total external debt service-to-exports ratio	6.0	5.0	5.0	4.9	4.4	4.4	4.3	2.9	2.4	2.5	2.4	6.5		
PV of PPG external debt (in Million of US dollars)	43.1	42.3	41.3	42.5	44.7	47.3	49.1	55.7	64.0	73.7	83.4	315.9		
(PVt-PVt-1)/GDPt-1 (in percent)		-0.3	-0.4	0.4	0.7	0.8	0.6	1.9	2.4	2.7	2.6	5.1		
Non-interest current account deficit that stabilizes debt ratio	-7.0	-2.1	2.3	4.5	7.4	11.4	15.5	20.7	28.0	31.6	34.2	45.0		

Definition of external/domestic debt	Residency-based
Is there a material difference between the two criteria?	Yes





Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt.

2/ Derived as [r - g - ρ(1+g) + εα (1+r)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, ρ = growth rate of GDP deflator in U.S. dollar terms, ε=nominal appreciation of the local currency, and α= share of local currency-denominated external debt in total external debt.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Current-year interest payments divided by previous period debt stock.

5/ Defined as grants, concessional loans, and debt relief.

6/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

7/ Assumes that PV of private sector debt is equivalent to its face value.

8/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

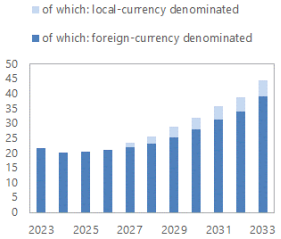
Table 2. Marshall Islands: Public Sector Debt Sustainability Framework, Baseline Scenario, 2022-2042

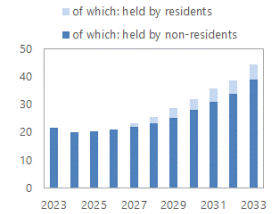
(In percent of GDP, unless otherwise indicated)

	Actual	Projections											Average 6/	
	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2042	Historical	Projections
Public sector debt 1/	**22.8**	**21.6**	**20.2**	**20.5**	**21.1**	**23.4**	**25.6**	**28.8**	**32.0**	**35.7**	**38.9**	**98.8**	**36.8**	**28.4**
of which: external debt	**22.8**	**21.6**	**20.2**	**20.5**	**21.1**	**21.9**	**23.2**	**25.4**	**28.0**	**31.2**	**34.0**	**89.4**	**36.7**	**26.0**
Change in public sector debt	-1.9	-1.2	-1.3	0.2	0.6	2.3	2.2	3.2	3.2	3.7	3.2	4.8		
Identified debt-creating flows	**-0.7**	**-1.5**	**-1.3**	**0.2**	**0.6**	**0.8**	**1.3**	**2.4**	**2.9**	**3.4**	**3.2**	**4.8**	**-2.6**	**1.6**
Primary deficit	**-0.9**	**-0.3**	**-0.4**	**0.8**	**1.2**	**1.3**	**1.7**	**2.8**	**3.4**	**3.9**	**3.7**	**6.0**	**-2.2**	**2.2**
Revenue and grants	66.4	62.8	69.5	67.8	68.9	71.6	70.1	68.6	67.1	58.7	57.6	51.4	**63.1**	**65.2**
of which: grants	38.8	31.9	27.8	26.9	27.9	30.6	29.0	28.4	27.1	18.9	17.9	12.5		
Primary (noninterest) expenditure	65.5	62.5	69.2	68.6	70.1	72.9	71.8	71.4	70.5	62.6	61.3	57.4	**60.9**	**67.4**
Automatic debt dynamics	**0.2**	**-1.2**	**-0.9**	**-0.6**	**-0.5**	**-0.5**	**-0.4**	**-0.4**	**-0.4**	**-0.5**	**-0.5**	**-1.2**		
Contribution from interest rate/growth differential	0.0	-1.2	-0.9	-0.6	-0.5	-0.5	-0.4	-0.4	-0.4	-0.5	-0.5	-1.2		
of which: contribution from average real interest rate	-1.2	-0.5	-0.3	-0.2	-0.2	-0.2	-0.1	-0.1	0.0	0.0	0.0	0.2		
of which: contribution from real GDP growth	1.1	-0.7	-0.6	-0.4	-0.4	-0.3	-0.3	-0.4	-0.4	-0.5	-0.5	-1.4		
Contribution from real exchange rate depreciation	0.2	...	...	...	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**
Privatization receipts (negative)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other debt creating or reducing flow (please specify)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual	**-1.2**	**0.2**	**-0.1**	**0.0**	**0.0**	**1.5**	**0.9**	**0.9**	**0.3**	**0.3**	**0.0**	**0.0**	**-0.6**	**0.4**
Sustainability indicators														
PV of public debt-to-GDP ratio 2/	**16.5**	**15.3**	**14.1**	**14.0**	**14.1**	**16.0**	**16.9**	**19.4**	**21.6**	**24.2**	**26.4**	**67.0**		
PV of public debt-to-revenue and grants ratio	**24.8**	**24.3**	**20.3**	**20.6**	**20.5**	**22.3**	**24.1**	**28.2**	**32.2**	**41.2**	**45.8**	**130.4**		
Debt service-to-revenue and grants ratio 3/	**4.1**	**3.8**	**3.3**	**3.3**	**2.9**	**2.8**	**4.4**	**4.5**	**5.1**	**6.5**	**7.0**	**12.7**		
Gross financing need 4/	1.8	2.1	1.9	3.0	3.2	3.3	4.8	5.8	6.8	7.7	7.7	12.5		
Key macroeconomic and fiscal assumptions														
Real GDP growth (in percent)	-4.5	3.0	3.0	2.0	1.7	1.5	1.5	1.5	1.5	1.5	1.5	1.5	**2.0**	**1.8**
Average nominal interest rate on external debt (in percent)	2.2	1.6	1.0	1.0	1.0	1.0	0.8	0.7	0.6	0.7	0.8	1.4	**2.3**	**0.9**
Average real interest rate on domestic debt (in percent)	-5.8	-1.3	-1.6	-0.9	-0.9	-1.0	11.1	9.6	9.4	9.1	9.0	7.7	**-0.8**	**4.6**
Real exchange rate depreciation (in percent, + indicates depreciation)	0.9	...	...	...	...	...	...	...	...	...	...	...	**0.7**	**...**
Inflation rate (GDP deflator, in percent)	6.2	2.9	2.7	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.0	2.0	**1.9**	**2.1**
Growth of real primary spending (deflated by GDP deflator, in percent)	-10.5	-1.7	14.0	1.1	4.0	5.6	-0.1	0.9	0.2	-9.8	-0.7	-1.9	**4.7**	**1.2**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	1.0	0.9	1.0	0.6	0.5	-1.0	-0.5	-0.4	0.2	0.2	0.5	1.2	**0.7**	**0.2**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	**Residency-based**
Is there a material difference between the two criteria?	**Yes**

Public sector debt 1/





Sources: Country authorities; and staff estimates and projections.

1/ Coverage of debt: The central government, government-guaranteed debt . Definition of external debt is Residency-based.

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.

6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Table 3. Marshall Islands: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2023-2032

(In percent)

	Projections 1/									
	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032
PV of debt-to GDP ratio										
Baseline	15	14	14	14	14	15	16	18	20	21
A. Alternative Scenarios										
A1. Key variables at their historical averages in 2023-2033 2/	15	10	4	-4	-14	-27	-43	-62	-84	-107
A2. Alternative Scenario: Natural disaster	15	15	16	16	16	16	18	19	21	23
B. Bound Tests										
B1. Real GDP growth	15	15	16	16	17	17	19	21	23	25
B2. Primary balance	15	15	16	16	17	17	18	20	22	24
B3. Exports	15	19	28	28	28	28	30	**32**	**34**	**36**
B4. Other flows 3/	15	22	29	29	29	30	**31**	**33**	**35**	**37**
B5. Depreciation	15	18	10	10	11	11	13	15	17	19
B6. Combination of B1-B5	15	22	24	24	25	25	26	28	**31**	**32**
C. Tailored Tests										
C1. Combined contingent liabilities	15	17	17	18	18	19	20	22	24	26
C2. Natural disaster	15	15	16	16	16	16	18	19	21	23
C3. Commodity price	15	21	27	26	24	21	19	17	14	11
Threshold	30	30	30	30	30	30	30	30	30	30
PV of debt-to-exports ratio										
Baseline	32	31	31	31	32	32	35	39	43	47
A. Alternative Scenarios										
A1. Key variables at their historical averages in 2023-2033 2/	32	23	9	-8	-31	-60	-94	-137	-185	-236
A2. Alternative Scenario: Natural disaster	32	33	34	35	36	36	39	43	47	51
B. Bound Tests										
B1. Real GDP growth	32	31	31	31	32	32	35	39	43	47
B2. Primary balance	32	33	35	36	37	37	40	44	49	53
B3. Exports	32	47	76	77	78	78	83	88	95	100
B4. Other flows 3/	32	47	64	64	65	65	69	73	77	81
B5. Depreciation	32	31	18	18	19	19	22	26	30	34
B6. Combination of B1-B5	32	48	46	55	56	56	59	64	69	73
C. Tailored Tests										
C1. Combined contingent liabilities	32	37	38	39	41	41	44	49	53	57
C2. Natural disaster	32	33	34	35	36	36	39	43	47	51
C3. Commodity price	32	57	71	66	59	50	44	38	33	26
Threshold	140	140	140	140	140	140	140	140	140	140

Table 3. Marshall Islands: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2023-2032 (concluded)

(In percent)

	Projections 1/									
	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032
Debt service-to-exports ratio										
Baseline	5	5	5	4	4	4	3	2	3	2
A. Alternative Scenarios										
A1. Key variables at their historical averages in 2023-2033 2/	5	5	5	4	4	3	1	0	-1	-3
A2. Alternative Scenario: Natural disaster	5	5	5	5	5	5	3	3	3	3
B. Bound Tests										
B1. Real GDP growth	5	5	5	4	4	4	3	2	3	2
B2. Primary balance	5	5	5	5	4	4	3	2	3	3
B3. Exports	5	6	7	7	7	7	5	4	4	5
B4. Other flows 3/	5	5	5	5	5	5	4	3	3	4
B5. Depreciation	5	5	5	4	4	4	3	2	2	2
B6. Combination of B1-B5	5	5	6	6	5	5	4	3	3	4
C. Tailored Tests										
C1. Combined contingent liabilities	5	5	5	5	5	4	3	3	3	3
C2. Natural disaster	5	5	5	5	5	5	3	3	3	3
C3. Commodity price	5	6	7	6	6	6	4	3	3	3
Threshold	10	10	10	10	10	10	10	10	10	10
Debt service-to-revenue ratio										
Baseline	8	5	5	5	5	5	3	3	3	3
A. Alternative Scenarios										
A1. Key variables at their historical averages in 2023-2033 2/	8	6	5	4	4	3	1	0	-1	-3
A2. Alternative Scenario: Natural disaster	8	6	6	5	5	5	4	3	3	3
B. Bound Tests	8	6	6	5	5	5	4	3	3	3
B1. Real GDP growth	8	6	6	6	6	5	4	3	3	3
B2. Primary balance	8	5	5	5	5	5	3	3	3	3
B3. Exports	8	6	6	6	6	6	4	4	4	4
B4. Other flows 3/	8	5	6	6	6	5	4	3	4	5
B5. Depreciation	8	7	7	6	6	6	4	3	3	3
B6. Combination of B1-B5	8	6	7	6	6	6	4	3	4	4
C. Tailored Tests										
C1. Combined contingent liabilities	8	5	6	5	5	5	3	3	3	3
C2. Natural disaster	8	6	6	5	5	5	4	3	3	3
C3. Commodity price	8	6	7	7	6	6	4	3	3	4
Threshold	14	14	14	14	14	14	14	14	14	14

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the threshold.
2/ Variables include real GDP growth, GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
3/ Includes official and private transfers and FDI.

Table 4. Marshall Islands: Sensitivity Analysis for Key Indicators of Public Debt, 2023-2032

	Projections 1/									
	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032
PV of Debt-to-GDP Ratio										
Baseline	15	14	14	14	16	17	19	22	24	26
A. Alternative Scenarios										
A1. Key variables at their historical averages in 2023-2033 2/	15	13	11	9	8	6	6	4	3	1
A2. Alternative Scenario: Natural disaster	15	14	14	14	16	17	20	22	25	27
B. Bound Tests										
B1. Real GDP growth	15	18	24	29	**35**	**41**	**48**	**55**	**62**	**69**
B2. Primary balance	15	16	17	17	19	20	22	24	27	29
B3. Exports	15	18	25	25	27	28	31	33	**36**	**38**
B4. Other flows 3/	15	22	29	29	31	32	35	**37**	**40**	**41**
B5. Depreciation	15	17	14	12	12	10	10	10	10	10
B6. Combination of B1-B5	15	15	15	15	17	18	20	23	25	27
C. Tailored Tests										
C1. Combined contingent liabilities	15	19	19	19	21	21	24	26	29	31
C2. Natural disaster	15	14	14	14	16	17	20	22	25	27
C3. Commodity price	15	20	29	**39**	**50**	**58**	**67**	**75**	**83**	**90**
TOTAL public debt benchmark	35	35	35	35	35	35	35	35	35	35
PV of Debt-to-Revenue Ratio										
Baseline	24	20	21	21	22	24	28	32	41	46
A. Alternative Scenarios										
A1. Key variables at their historical averages in 2023-2033 2/	24	19	16	12	11	9	8	6	4	2
A2. Alternative Scenario: Natural disaster	4	3	3	3	3	4	5	5	7	7
B. Bound Tests										
B1. Real GDP growth	24	25	33	39	46	55	65	77	100	114
B2. Primary balance	24	22	25	25	26	28	32	36	46	50
B3. Exports	24	26	37	37	38	40	45	49	61	65
B4. Other flows 3/	24	31	43	42	43	46	50	55	67	72
B5. Depreciation	24	25	22	19	17	15	16	16	18	18
B6. Combination of B1-B5	24	22	22	21	23	25	29	33	43	47
C. Tailored Tests										
C1. Combined contingent liabilities	24	28	28	27	29	31	35	39	49	54
C2. Natural disaster	4	3	3	3	3	4	5	5	7	7
C3. Commodity price	24	29	44	58	69	82	95	107	136	152
Debt Service-to-Revenue Ratio										
Baseline	4	3	3	3	3	4	4	5	6	7
A. Alternative Scenarios										
A1. Key variables at their historical averages in 2023-2033 2/	4	3	3	2	1	2	1	1	1	1
A2. Alternative Scenario: Natural disaster	4	3	3	3	3	4	5	5	7	7
B. Bound Tests										
B1. Real GDP growth	4	3	5	6	7	10	11	12	15	16
B2. Primary balance	4	3	4	4	3	5	5	5	7	7
B3. Exports	4	3	3	3	3	5	5	5	7	8
B4. Other flows 3/	4	3	4	3	3	5	5	6	7	8
B5. Depreciation	4	4	4	3	4	5	5	5	6	6
B6. Combination of B1-B5	4	3	3	3	3	5	5	5	7	7
C. Tailored Tests										
C1. Combined contingent liabilities	4	3	6	4	4	5	5	6	7	7
C2. Natural disaster	4	3	3	3	3	4	5	5	7	7
C3. Commodity price	4	3	4	7	9	13	15	16	19	20

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the benchmark.
2/ Variables include real GDP growth, GDP deflator and primary deficit in percent of GDP.
3/ Includes official and private transfers and FDI.